SUMMARY

This reading provides a description and computation of investment characteristics, such as risk and return, that investors use in evaluating assets for investment. This was followed by sections about portfolio construction, selection of an optimal risky portfolio, and an understanding of risk aversion and indifference curves. Finally, the tangency point of the indifference curves with the capital allocation line allows identification of the optimal investor portfolio. Key concepts covered in the reading include the following:

- Holding period return is most appropriate for a single, predefined holding period.
- Multiperiod returns can be aggregated in many ways. Each return computation has special applications for evaluating investments.
- Risk-averse investors make investment decisions based on the risk–return trade-off, maximizing return for the same risk, and minimizing risk for the same return. They may be concerned, however, by deviations from a normal return distribution and from assumptions of financial markets' operational efficiency.
- Investors are risk averse, and historical data confirm that financial markets price assets for risk-averse investors.
- The risk of a two-asset portfolio is dependent on the proportions of each asset, their standard deviations and the correlation (or covariance) between the assets' returns. As the number of assets in a portfolio increases, the correlation among asset risks becomes a more important determinant of portfolio risk.
- Combining assets with low correlations reduces portfolio risk.
- The two-fund separation theorem allows us to separate decision making into two steps. In the first step, the optimal risky portfolio and the capital allocation line are identified, which are the same for all investors. In the second step, investor risk preferences enable us to find a unique optimal investor portfolio for each investor.
- The addition of a risk-free asset creates portfolios that are dominant to portfolios of risky assets in all cases except for the optimal risky portfolio.

By successfully understanding the content of this reading, you should be comfortable calculating an investor's optimal portfolio given the investor's risk preferences and universe of investable assets available.

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Portfolio Risk and Return: Part I

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